

Norway seeks to maximize its international purchasing power. The fund's spending rule set by Parliament is approximately 4%. This can be interpreted as a long-run real return (this is probably too optimistic; see chapter 11).¹⁰ The expanded return decomposition in equation (14.5) indicates that the Ministry of Finance, and hence Parliament, is making active decisions in real terms. First, by choosing a currency basket, it decides on a cash return. In 2013, at the time of writing, investors seeking positive real returns are disadvantaged by negative cash returns (T-bill yields are lower than inflation). Second, members of Norway's Parliament decide on fixed benchmark weights in different asset classes (w_i^b) which have (hopefully positive) returns in excess of cash ($r_i^b - r_f$). The other two components in equation (14.5) are the benchmark-timing and security selection components, for which NBIM takes responsibility.

2.4. DYNAMIC FACTORS

A large body of academic literature, and long investing experience, has uncovered certain classes of equity, debt, and derivative securities that have higher payoffs than the broad market index. Stocks with low prices relative to fundamentals (value stocks) beat stocks with high prices relative to fundamentals (growth stocks) over long periods, giving rise to a *value-growth* premium. Over the long run, stocks with past high returns (winners) outperform stocks with low or negative past returns (losers), leading to *momentum* strategies. Securities that are more illiquid trade at low prices and have high average excess returns, relative to their more liquid counterparts. Thus there is an *illiquidity* premium.¹¹ Bonds that have higher default risk tend to have higher average returns reflecting a *credit risk* premium. And because investors are willing to pay for protection against high volatility periods, when returns tend to crash, sellers of *volatility protection* in option markets earn high returns, on average.

We combine long positions in these classes of securities with underweight or short positions in the securities that underperform. Thus we can collect dynamic risk premiums. A partial list is:

Value-Growth Premium = Value stocks minus growth stocks

Momentum Premium = Winning stocks minus losing stocks

Illiquidity Premium = Illiquid securities minus liquid securities

Credit Risk Premium = Risky bonds minus safe bonds

Volatility Risk Premium = Selling out-of-the-money puts offset by stocks or calls to produce market-neutral positions

¹⁰For further details on payout policies from sovereign wealth funds and endowments, see chapter 1.

¹¹At least within asset classes. There is scant evidence of illiquidity premiums across asset classes, as discussed in chapter 13.